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Case Number: 25STCV03009 Hearing Date: September 16, 2026 Dept: 224

Berry et al., v. AIDS Healthcare Foundation, et al.,

TENTATIVE RULING

Defendant AIDS Healthcare Foundation's demurrer to the First Amended Complaint is SUSTAINED WITH LEAVE TO AMEND as to each of the first through sixth causes of action, as to Plaintiff Deshon Crooms.

The Demurrer is placed OFF CALENDAR AS MOOT as to Plaintiff William Berry.

Plaintiff Crooms shall file and serve a Second Amended Complaint within twenty (20) days of notice of this ruling.

The Case Management Conference is continued to December 21, 2026 at 8:30 a.m. An OSC Re Proof of Service, CRC 3.110 as to Housing4Humanity and 423 The Madison, LLC is also set for December 21, 2026 at 8:30 a.m. Plaintiff is to file declarations in response to the OSC no later than five court days before the hearing.

ANALYSIS

Introduction

On February 3, 2025, Plaintiffs William Berry and Deshon Crooms filed the Complaint in this action.

On June 22, 2026, Plaintiffs filed the operative First Amended Complaint.

On July 21, 2026, Defendant AIDS Healthcare Foundation filed the Demurrer to Plaintiffs' First Amended Complaint, and the concurrent Motion to Strike Portions of Plaintiffs' First Amended Complaint.

On August 26, 2026, Plaintiff William Berry was dismissed from this action.

On September 2, 2026, Plaintiff Deshon Crooms filed the Oppositions.

Request for Judicial Notice

Defendant requests the Court to take judicial notice of (1) the First Amended Complaint, notices of settlement, and Request for Dismissal filed in Grace Antisdel, et al. v. AIDS Healthcare Foundation, et al., Los Angeles Superior Court case no. 21STCV04049, together with the trial court's docket in that action; (2) the Second Amended Complaint, the April 12, 2022 minute order granting class certification, the Motion for Preliminary Approval of Class Action Settlement, the December 23, 2024 minute order, the Class Action Settlement Agreement and Class Notice filed January 9, 2025, the Motion for Final Approval of Class Action Settlement, the Declaration of Anne-Marie Marra, the May 8, 2025 minute order, the Order on Final Approval of Class Action Settlement, the Final Judgment, and the trial court's docket, all in Tammy Davis v. AIDS Healthcare Foundation, Los Angeles Superior Court case no. 20STCV08627; and (3) deeds recorded in the Official Records of the Los Angeles County Registrar-Recorder/County Clerk concerning the real property located at 423 E. 7th Street, Los Angeles, California.

The request is denied as to the Antisdel materials, which are offered solely in support of Defendant's preclusion argument against Plaintiff Berry and are immaterial in light of his August 26, 2026 dismissal.

The remainder of the requests is GRANTED.

Meet and Confer

Before filing a demurrer or a motion to strike, the demurring or moving party is required to meet and confer with the party who filed the pleading demurred to or the pleading that is subject to the motion to strike for the purposes of determining whether an agreement can be reached through a filing of an amended pleading that would resolve the objections to be raised in the demurrer. (CCP §§ 430.41)

The Declaration of Heather Stern, executed on July 21, 2026, sets forth the meet and confer efforts of counsel for the Defendants, and counsel's attempts to resolve the dispute informally. However, the declaration does not satisfy the requirement of Code of Civil Procedure section 430.41, as it does not specify whether the meet and confer took place in person, by telephone, or by video conference, as Code of Civil Procedure section 430.41 requires. The Court will nonetheless exercise its discretion to consider the merits.

Legal Standard

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context. (Wilson v. Transit Authority of City of Sacramento (1962) 199 Cal.App.2d 716, 720-21.) In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) "A demurrer tests the pleading alone, and not on the evidence or facts alleged." (E-Fab, Inc. v. Accountants, Inc. Servs. (2007) 153 Cal.App.4th 1308, 1315.) As such, the court assumes the truth of the complaint's properly pleaded or implied factual allegations. (Id.) The only issue a demurrer is concerned with is whether the complaint, as it stands, states a cause of action. (Hahn, supra, 147 Cal.App.4th at 747.)

Mootness as to Plaintiff Berry

Berry's dismissal moots both motions as to him. A demurrer tests a pleading asserted by a party; where the plaintiff has dismissed, there is no live controversy and no relief the Court could grant.

The Operative Release Period

The Court first corrects a premise of the moving papers. AHF asserts a release period running through January 9, 2025, described as the date the executed settlement agreement was filed. But section 7.3 of the settlement agreement ties the release to the "Preliminary Approval Date," which the agreement defines by reference to the Preliminary Approval Order. That order was entered December 27, 2024. The January 9, 2025 filing was a declaration of compliance, not the order. The Motion for Preliminary Approval likewise states that the release period ends on the date of preliminary approval.

The release period therefore ran from September 27, 2017 through December 27, 2024. AHF's contrary date is rejected. The thirteen-day difference is not material to the disposition, but it governs any amended pleading and any later motion.

Scope of the Davis Release

Defendant contends Crooms's claims were released in *Tammy Davis v. AIDS Healthcare Foundation*, LASC No. 20STCV08627, because section 7.3 releases "all common area claims" – enumerating plumbing, electrical, elevator outages, unsanitary common areas, mailboxes, deadbolts, resident caretaker, and public nuisance – and the FAC alleges those same conditions. A written release extinguishes obligations covered by its terms and is enforced as written. (*Skrbina v. Fleming Cos.* (1996) 45 Cal.App.4th 1353, 1366.)

In opposition, Crooms correctly observes that section 7.3 reserves "all claims not released," expressly excludes "any claims arising from conditions inside Class Member units," and that no class member gave a Civil Code section 1542 waiver. A class release cannot reach claims outside the scope of the settled complaint. (*Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 537-539.) Each proposition is sound, but the FAC pleads no facts within the carve-out.

Paragraph 45 alleges "code violations in their individual units throughout their tenancies" without identifying any condition. (FAC ¶ 45.) Paragraph 68 describes an October 4, 2024 citation for defective floors "in a unit," not alleged to be Unit 211, and reasons outward to "building-wide issues related to infestations." (FAC ¶ 68.) Counsel's assertion in opposition that Crooms "still has claims as to his individual unit" appears only in the brief. As pleaded, the FAC alleges the released categories and nothing else.

Further, as to res judicata, claim preclusion requires the same cause of action between the same parties after a final judgment on the merits. (*DKN Holdings LLC v. Faerber* (2015) 61 Cal.4th 813, 824.) Even assuming identity of primary right as to conduct within the class period, a judgment does not preclude claims arising from conduct occurring after it. Defendant's alleged continuing failures to maintain habitable premises after December 27, 2024 give rise to claims that could not have been litigated in Davis.

Demurrer on this ground is SUSTAINED WITH LEAVE TO AMEND.

Alter Ego Allegations

Defendant contends the FAC's alter ego allegations are conclusory and that it cannot be liable for conditions after it transferred title on December 30, 2024.

Alter ego requires facts showing both a unity of interest and ownership and that an inequitable result would follow from respecting the corporate form. (*Automotriz etc. de California v. Resnick* (1957) 47 Cal.2d 792, 796.) To allege alter ego, plaintiffs must plead a unity of interest and ownership such that the separate personalities of the corporations and individuals do not exist, and that an inequity will result if the corporate entity is treated as the sole actor. (*Tomaselli v. Transamerica Ins. Co* (1994) 25 Cal. App. 4th 1269, 1285; *Vasey v. Cal. Dance Co.* (1977) 70 Cal. App. 3d 742, 749.) Factors to consider in applying the doctrine include the commingling of funds and other assets, the holding out by one entity that it is liable for the

debts of the other, identical equitable ownership in the two entities, inadequate capitalization, and disregard of corporate formalities. (Sonora Diamond Corp. v Superior Court (2000) 83 Cal.App.4th 523, 538-39.)

The FAC alleges a shared business address, that Defendant's president formed H4H in 1995 to manage Defendant's housing projects, a generalized corporate practice of acquiring buildings, transferring title, and continuing to operate them, and that Madison designates H4H as its manager (FAC ¶¶ 7, 13). These allegations speak, at most and in general terms, to common ownership and management. The FAC pleads no commingling of funds or assets, no holding out by Defendant that it is answerable for the debts of H4H or Madison, no inadequate capitalization of either transferee, and no disregard of corporate formalities. As to the second element, the FAC alleges only that Defendants are alter egos and that treating them separately would be inequitable, which states the conclusion rather than facts supporting it.

Paragraph 40 further alleges that H4H and then Madison each assumed Crooms's lease and formed a landlord-tenant relationship with him, and the FAC alleges no facts describing Defendant's own conduct at the property after December 30, 2024.

Because the pre-December 27, 2024 allegations are released as pleaded, and the post-transfer allegations neither connect Defendant to the property directly nor satisfy the Tomaselli and Sonora Diamond pleading requirements, no cause of action states facts sufficient to constitute a claim against this Defendant in either period.

Demurrer on this ground is SUSTAINED WITH LEAVE TO AMEND.

Sham Pleading

Defendant contends the FAC is a sham because it alleges Defendant continued to own and operate the property after December 30, 2024, contradicting paragraph 2 of the original complaint and the recorded deeds.

The sham pleading doctrine applies only where a plaintiff attempts to avoid a prior harmful admission by omitting or contradicting it without explanation. (Larson v. UHS of Rancho Springs, Inc. (2014) 230 Cal.App.4th 336, 344; Deveny v. Entropin, Inc. (2006) 139 Cal.App.4th 408, 425–426.)

The FAC neither omits nor contradicts. It pleads the December 30, 2024 transfer to H4H and the March 21, 2025 transfer to Madison, and separately alleges that Defendant continued to operate the premises through those entities (FAC ¶¶ 11–13). Continued operation is not inconsistent with divested title, and the judicially noticed deeds establish only that legal title transferred.

Demurrer on this ground is OVERRULED.

Motion to Strike

Defendant moves in the alternative to strike the FAC's post-transfer ownership and alter ego allegations and all allegations predating January 9, 2025. Because the demurrer is sustained as to every cause of action, the FAC will be superseded and no operative matter remains to strike. The motion to strike is OFF CALENDAR AS MOOT.

Conclusion

Defendant AIDS Healthcare Foundation's demurrer to the First Amended Complaint is SUSTAINED WITH LEAVE TO AMEND as to each of the first through sixth causes of action, as to Plaintiff Deshon Crooms.

The Demurrer is placed OFF CALENDAR AS MOOT as to Plaintiff William Berry.

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Moving party to give notice.

Parties who intend to submit on this tentative must send an email to the Court at SMCDept224@lacourt.org indicating intention to submit on the tentative, and copying all parties in the email communication. Please be advised that if you submit on the tentative and elect not to appear at the hearing, the opposing party may nevertheless appear at the hearing and argue the matter. Unless you receive a submission from all other parties in the matter, you should assume that others might appear at the hearing to argue. If the Court does not receive emails from the parties indicating submission on this tentative ruling and there are no appearances at the hearing, the Court will adopt the tentative as the final order, or take the matter off calendar at its discretion.